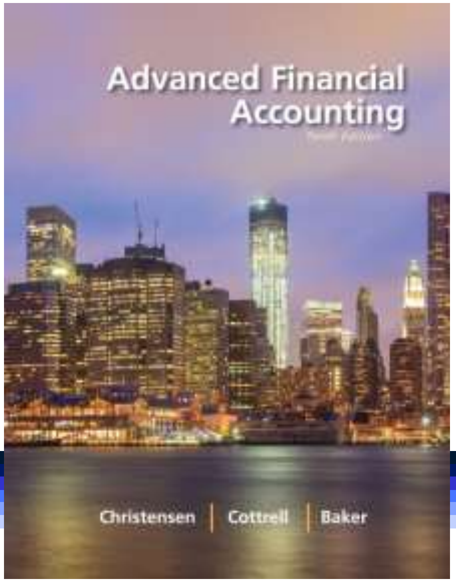
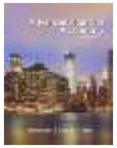
Chapter 7

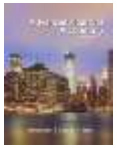


Intercompany Transfers of Noncurrent Assets and Services



Learning Objective 7-1

Intercompany Transfers of Noncurrent Assets and Services

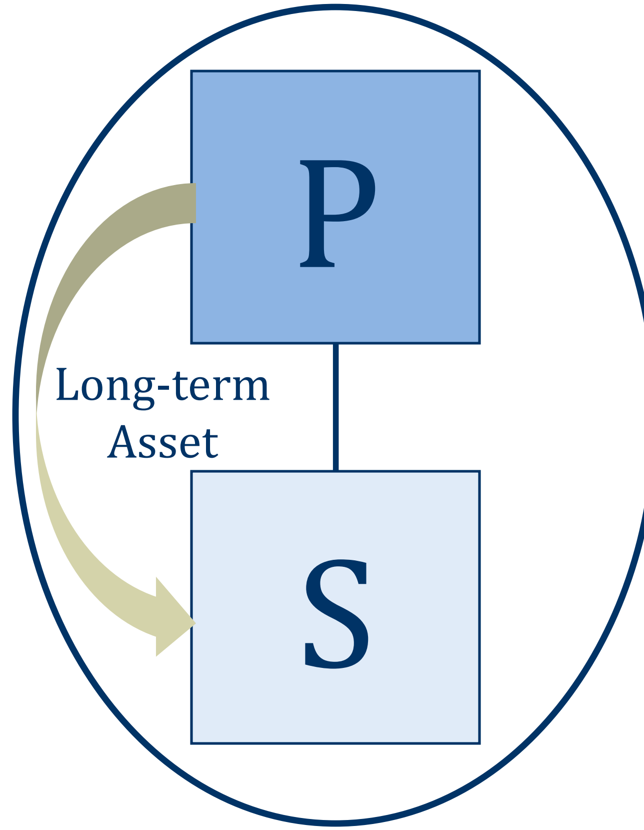


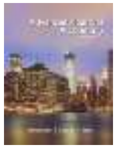
Summary of GAAP Requirements for Preparing Consolidated Statements

- All intercompany transactions must be eliminated in consolidation.
- The full amount of unrealized intercompany profit or gain must be eliminated.
  - The deferral is shared with NCI shareholders in upstream transactions.

Big Picture: The Consolidated Perspective

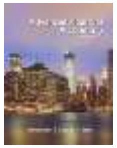
- From a consolidated viewpoint, the reported amount for a fixed asset cannot change merely because the asset has been moved to a different location within the consolidated group.
- **Objective:**
  - Undo the transfer.
  - Make it appear as if we only changed the estimated useful life of asset.





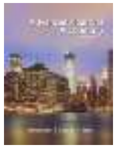
Different Asset Types

- **Non-depreciable Assets**
  - The transfer of non-depreciable assets is very similar to the transfer of inventory
  - Eliminate gains like unrealized gross profit
- **Depreciable Assets**
  - Eliminate the seller's gain
  - Adjust transferred asset back to old basis
  - Adjust depreciation back to what it would have otherwise been if the original owner had depreciated the asset based on the revised estimate of useful life



Intercompany Transfers of Services

- When one company purchases services from a related company, the purchaser typically records an expense and the seller records a revenue.
  - In the consolidation worksheet, an eliminating entry would be needed to reduce both revenue (debit) and expense (credit).
  - Because the revenue and expense are equal and both are eliminated, income is unaffected by the elimination.
  - The elimination is still important because otherwise both revenues and expenses are overstated.



Practice Quiz Question #1

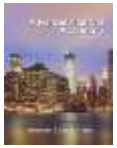
The goal in preparing eliminating entries related to asset transfers among affiliated companies is to

a. emphasize gains and losses in the consolidated financial statements.

b. eliminate gains and losses and re-adjust the basis of the transferred asset to what it would have been on the original owner's books.

c. augment consolidated income.

d. decrease consolidated income.



Practice Quiz Question #1 *Solution*

The goal in preparing eliminating entries related to asset transfers among affiliated companies is to

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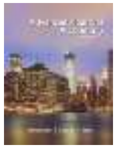
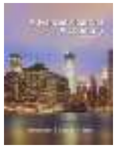
c. augment consolidated income.

d. decrease consolidated income.



Learning Objective 7-2

Prepare equity-method journal entries and elimination entries for the consolidation of a subsidiary following an intercompany land transfer.



Example 1: 100% Ownership Land Transfer (Non-Depreciable)

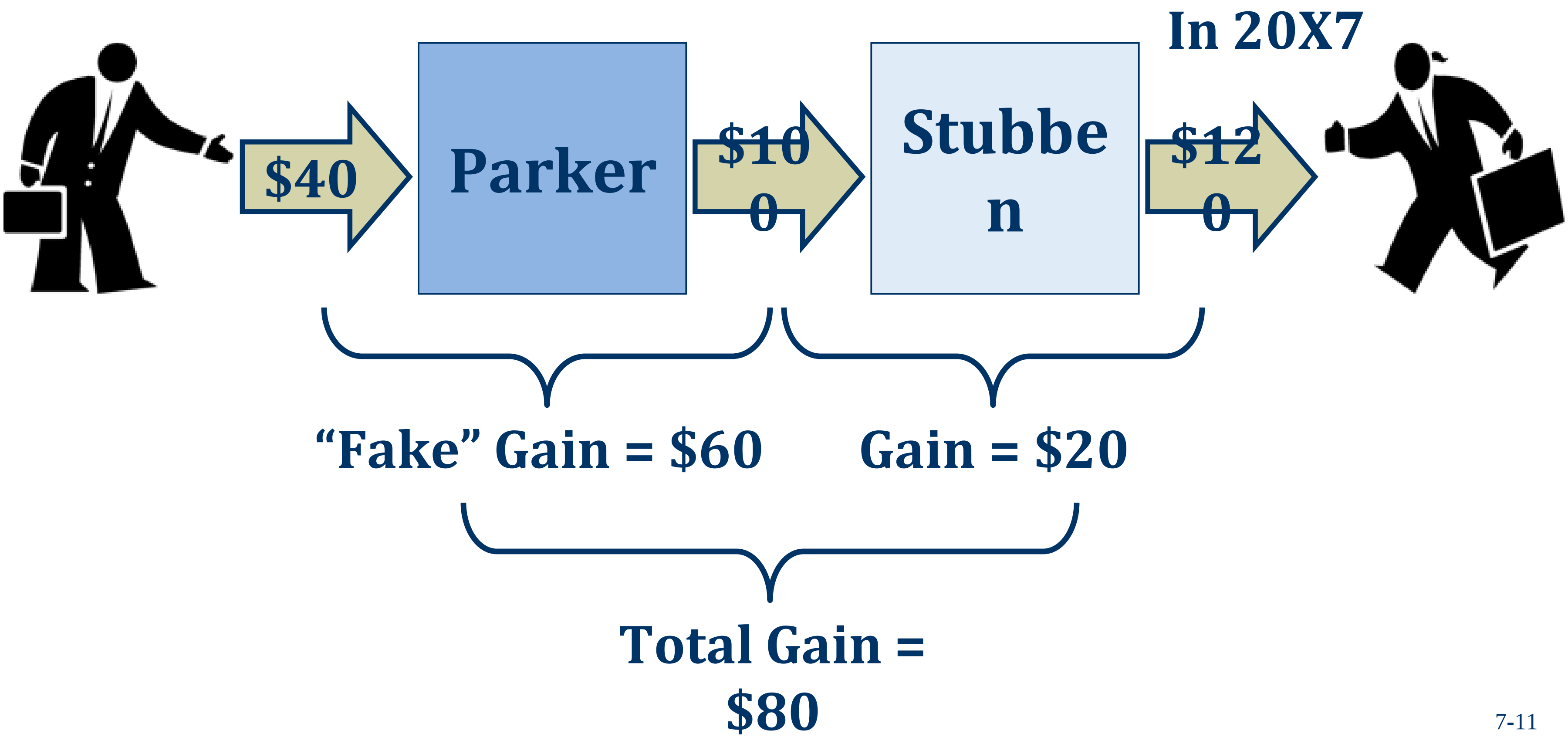
- On 3/31/X5, Parker Inc. sold land costing $40,000 to its 100% owned subsidiary, Stubben Inc., for $100,000.
- In this example, we'll do consolidation worksheet entries **without** adjusting the equity method accounts.
- **This is the modified equity method.**
- This is meant to be a **conceptual** exercise only. (We will switch to the **fully adjusted equity method** next.)

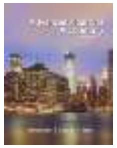
Required:

1. Prepare the consolidation entry(ies) as of 12/31/X5 and 12/31/X6.
2. Prepare the consolidation entry at 12/31/X7, assuming that Stubben sold the land in 20X7 for $120,000.

Example 1: 100% Ownership Land Transfer (Non-Depreciable)

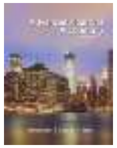
On 3/31/X5, Parker Inc. sold land costing $40,000 to its 100% owned subsidiary, Stubben Inc., for $100,000.





Hint: Developing Fixed Asset Elimination Entries

- **Compare "Actual" with "As if "**
  - **"Actual"** = How the transferred asset and related accounts actually appear on the companies' books
  - **"As if "** = How the transferred asset and related accounts would have appeared if the asset had stayed on the original owner's books
- **The difference between the two gives the elimination entry or entries.**

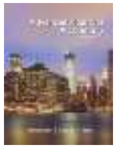


Example 1: 100% Ownership Land Transfer (Non-Depreciable)

On 3/31/X5, Parker Inc. sold land costing $40,000 to its 100% owned subsidiary, Stubben Inc., for $100,000.

Land			Gain on Sale of Land	
100,000		"Actual		60,000
	60,000		60,000	
40,000		"As if"		0

Gain on the Sale of Land	60,000
Land	60,000



Example 1: Consolidation Entry at 12/31/X5

Requirement 1:

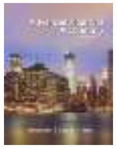
Parker	**Stubbe n**
Assets = Liabilities + Equity	***Assets = Liabilities + Equity***
Gain +60	**Land +60**

Consolidation Entry at 12/31/X5

Gain on Sale of Land	60,000
Land	60,000

What happens to the gain?

RE +60	**Land +60**



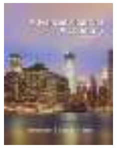
Example 1: Consolidation Entry at 12/31/X6

Requirement 1:

Parker	**Stubben**
Assets = Liabilities + Equity	***Assets = Liabilities + Equity***
RE +60	**Land +60**

Consolidation Entry at 12/31/X6 ***(and all years until land is sold)***

Retained Earnings	60,000	
Land		60,000



Example 1: Consolidation Entry at 12/31/X7

Requirement 2:

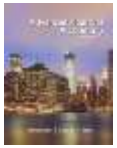
Parker	Stubben
Assets = Liabilities + Equity	*Assets = Liabilities + Equity*
RE +60	Gain +20

What gain should Stubben report in 20X7 when the land is sold?

Consolidation Entry at 12/31/X7 ***(Stubben resold the land in 20X7)***

Retained Earnings	60,000	
Gain on Sale		60,000

- Thus, the gain in the consolidated financial statements is $80,000!
- What's the only problem with the modified equity method?
  - THE PARENT'S FINANCIAL STATEMENTS ARE NOT CORRECT!



Solution: Parker Company Equity Method Journal Entries

Requirement 1

Consolidation Entry at 12/31/X5

Gain on Sale of Land	60,000	
Land	60,000	

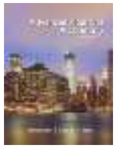
Consolidation Entry at 12/31/X6

Retained Earnings	60,000	
Land	60,000	

Requirement 2

Consolidation Entry at 12/31/X7 (Stubben resold the land in 20X7)

Retained Earnings	60,000	
Gain on Sale of Land		60,000



Equity Method Adjustment

- After calculating the unrealized gain, simply make an extra adjustment to back it out.
- Do this at the same time you record the parent's share of the sub's income.

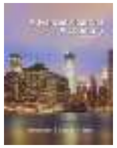
Investment in Sub	
NI XXX	
	60,000

Unreal. Gain

Income from Sub	
	XXX NI
60,000	

Reverse later when the asset is sold!

This ensures that the parent income is equal to the consolidated income.



Example 2: 100% Ownership Land Transfer

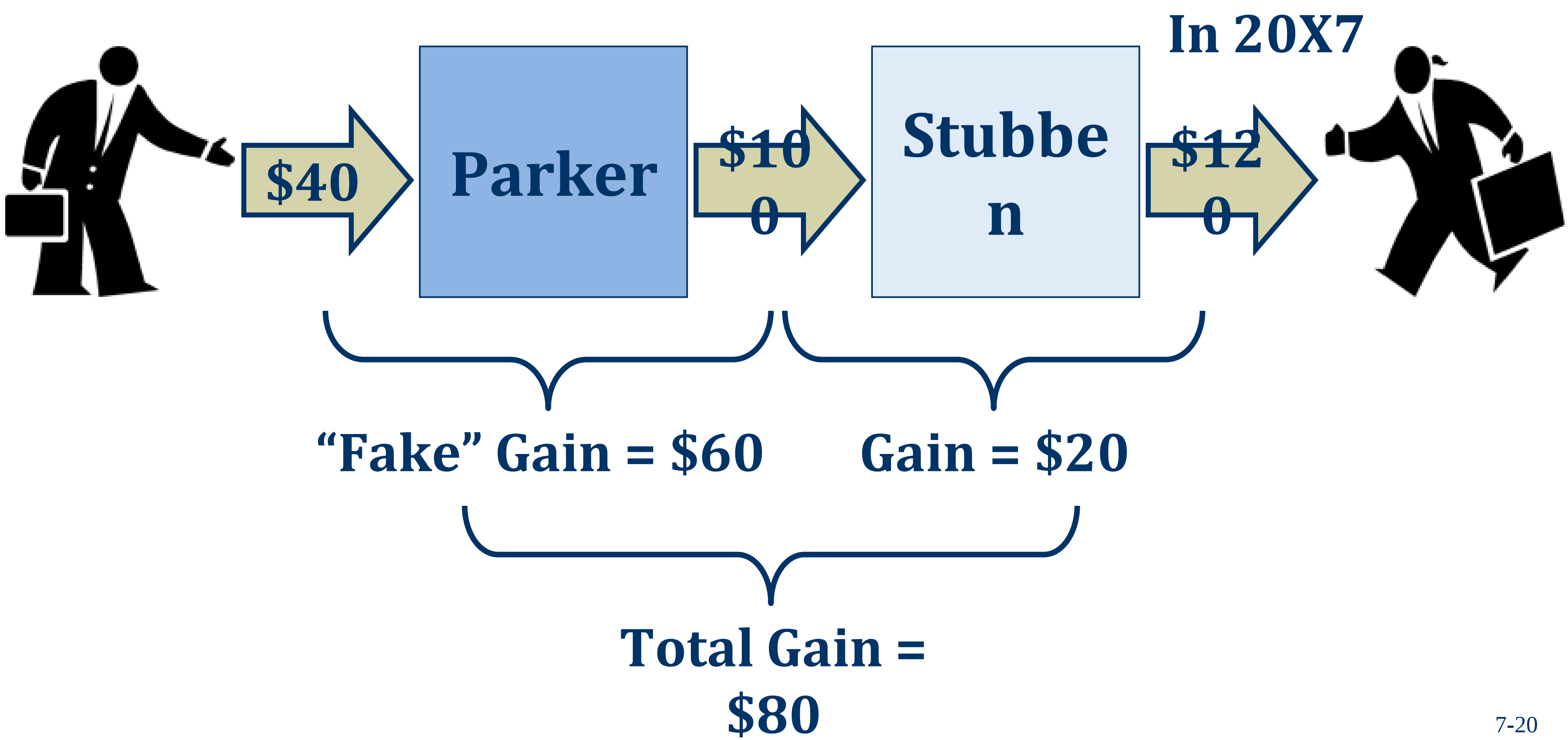
- On 3/31/X5, Parker Inc. sold land costing $40,000 to its 100% owned subsidiary, Stubben Inc., for $100,000.
- Now assume Parker adjusts for this transaction in the equity accounts.
- **This is the fully adjusted equity method!**
- How would your answers change?

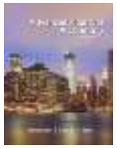
Required:

1. Prepare the consolidation entry(ies) as of 12/31/X5 and 12/31/X6.
2. Prepare the consolidation entry at 12/31/X7, assuming that Stubben sold the land in 20X7 for $120,000.

Example 2: 100% Ownership Land Transfer

On 3/31/X5, Parker Inc. sold land costing $40,000 to its 100% owned subsidiary, Stubben Inc., for $100,000.



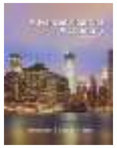


ONE EXTRA STEP! Equity Method Adjustment

Investment in Sub	
NI XXX	60,000

Income from Sub	
Unreal. 60,000 Gain	XXX NI

This defers the gain until later



Example 2: Consolidation Entry at 12/31/X5

Requirement 1:

Parker

Stubben

Assets = Liabilities + Equity *Assets = Liabilities + Equity*

Invest −60 **Gain +60** **Land +60**

Income from Sub −60

- The equity method adjustment “fixes” parent’s books!

What happens to the equity method accounts?

- Eliminated in the consolidation. But we still need to fix the problem!

Consolidation Entry at 12/31/X5

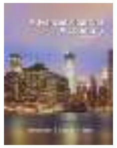
Gain on Sale of Land	60,000	
Land		60,000

Same!

What happens to the gain AND Income from Sub?

Invest −60 **RE correct** **Land +60**

They cancel out!



Example 2: Consolidation Entry at 12/31/X6

Requirement 1:

Parker | **Stubben**

Assets = Liabilities + Equity | ***Assets = Liabilities + Equity***

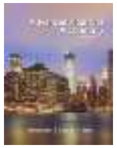
Invest 60 | **Land +60**

- The normal basic elimination entry will still eliminate BV of equity.
- The investment account will be "over eliminated" and left with a $60,000 credit!
- We can't leave a "balance" in that account in the consolidated B/S!

Consolidation Entry at 12/31/X6 ***(and all years until land is sold)***

Investment	60,000	
Land		60,000

- This entry eliminates the investment account and fixes the land balance.



Example 2: Consolidation Entry at 12/31/X7

Requirement 1:

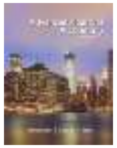
Parker	Stubben
Assets = Liabilities + Equity	*Assets = Liabilities + Equity*
Invest −60	Gain +20

What gain should Stubben report in 20X7 when the land is resold?

Consolidation Entry at 12/31/X7 ***(Stubben resold the land in 20X7)***

Investment	60,000	
Gain on Sale		60,000

- Thus, the gain in the consolidated financial statements is $80,000!
- We also reverse out the equity method deferral this year.
- **THE PARENT'S FINANCIAL STATEMENTS ARE <u>ALWAYS</u> CORRECT!**



Example 2: Solution Summary

Requirement 1

Consolidation Entry at 12/31/X5

Gain on Sale of Land	60,000	
Land	60,000	

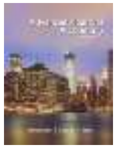
Consolidation Entry at 12/31/X6

Investment in Stubben	60,000	
Land	60,000	

Requirement 2

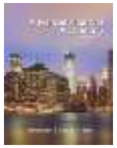
Consolidation Entry at 12/31/X7 (Stubben resold the land in 20X7)

Investment in Stubben	60,000	
Gain on Sale of Land		60,000



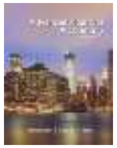
Consolidation Worksheet—20X5

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Gain on Sale	60,000		60,000		0
Income from Sub	(60,000) Lower		**Basic**		0
Balance Sheet					
Investment in Sub	(60,000) Lower			**Basic**	0
Land		100,000		60,000	40,000



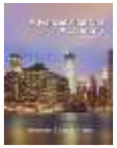
Consolidation Worksheet—20X6

			Adjustments		
	Parent	Sub	DR	CR	Consol-idated
Income Statement					
Balance Sheet					
Investment in Sub	(60,000) Lower		60,000	Basic	0
Land		100,000		60,000	40,000



Consolidation Worksheet—20X7

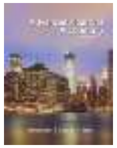
			Adjustments		
	Parent	Sub	DR	CR	Consol-idated
Income Statement					
Gain on Sale		20,000		60,000	80,000
Balance Sheet					
Investment in Sub	(60,000) Lower		60,000	Basic	0
Land		0			0



Practice Quiz Question #2

The major difference between the modified and fully adjusted equity methods of accounting for fixed asset transfers is

a. the parent’s income is always lower under the modified equity method.
b. the parent’s income is always higher under the modified equity method.
c. the parent’s income equals consolidated income under both methods.
d. the parent’s income equals consolidated income under the fully adjusted method.



Practice Quiz Question #2 *Solution*

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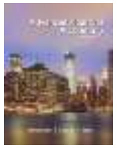
c. the parent's income equals consolidated income under both methods.

d. $\boxed{\text{the parent's income equals consolidated income under the fully adjusted method.}}$



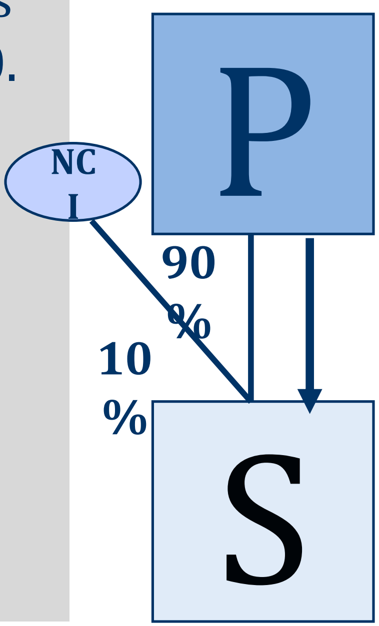
Learning Objective 7-3

Prepare equity-method journal entries and elimination entries for the consolidation of a subsidiary following a downstream land transfer.

Group Exercise 1: Partial Ownership Land Transfer

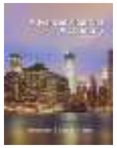
- Stubben Corporation is a 90%-owned subsidiary of Parker Corporation, acquired for $270,000 on 1/1/X5.
- Investment cost was equal to book value and fair value.
- Stubben's net income in 20X5 was $70,000, and Parker's income, excluding its income from Stubben, was $90,000.
- Parker's income includes a $10,000 unrealized gain on land that cost $40,000 and was sold to Stubben for $50,000.
- Assume that Stubben sold the land in 20X7 for $65,000. Assume Parker adjusts for this transaction in the equity accounts.

  NOTE: This is a downstream transaction.



Required:

1. What entry(ies) would Parker make in 20X5 and 20X7?
2. Prepare the consolidation entries at 12/31/X5, 12/31/X6, and 12/31/X7.



Group Exercise 1: Solution

Requirement 1

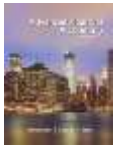
20X5 Equity Method Entries

Investment in Stubben	63,000	
Income from Stubben		63,000

Income from Stubben	10,000	
Investment in Stubben		10,000

20X7 Equity Method Entry (after Stubben resold the land)

Investment in Stubben	10,000	
Income from Stubben		10,000



Group Exercise 1: Solution

Requirement 2

Consolidation Entry at 12/31/X5

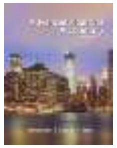
Gain on Sale of Land	10,000	
Land	10,000	

Consolidation Entry at 12/31/X6

Investment in Stubben	10,000	
Land	10,000	

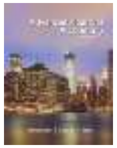
Consolidation Entry at 12/31/X7 (Stubben resold the land in 20X7)

Investment in Stubben	10,000	
Gain on Sale of Land		10,000



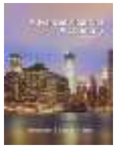
Consolidation Worksheet—20X5

			Adjustments		
	Parent	Sub	DR	CR	Consol-idated
Income Statement					
Gain on Sale	10,000		10,000		0
Income from Sub	53,000		53,000 **Basic**		0
Balance Sheet					
Investment in Sub	323,000			323,000 **Basic**	0
Land		50,000		10,000	40,000



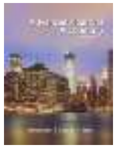
Consolidation Worksheet—20X6

			Adjustments		
	Parent	Sub	DR	CR	Consol-idated
Income Statement					
Balance Sheet					
Investment in Sub	(10,000) Lower		10,000	Basic	0
Land		50,000		10,000	40,000



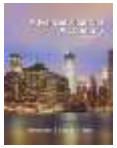
Consolidation Worksheet—20X7

			Adjustments		
	Parent	Sub	DR	CR	Consol-idated
Income Statement					
Gain on Sale		15,000		10,000	25,000
Balance Sheet					
Investment in Sub	(10,000) Lower		10,000	Basic	0
Land		0			0



Learning Objective 7-4

Prepare equity-method journal entries and elimination entries for the consolidation of a subsidiary following an upstream land transfer.



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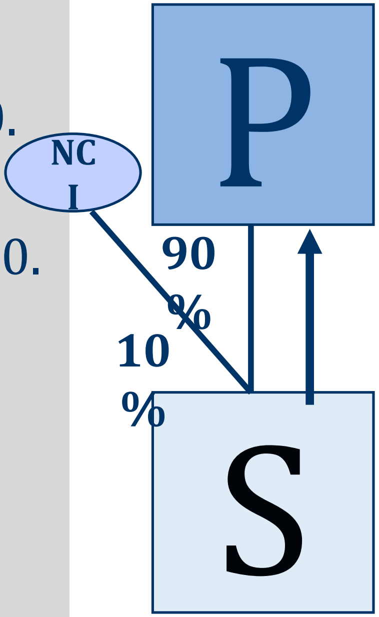
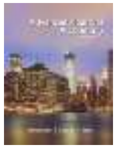
- Stubben Corporation is a 90%-owned subsidiary of Parker Corporation, acquired for $270,000 on 1/1/X5.
- Investment cost was equal to book value and fair value.
- Stubben’s net income in 20X5 was $70,000, and Parker’s income, excluding its income from Stubben, was $90,000.
- Stubben’s income includes a $10,000 unrealized gain on land that cost $40,000 and was sold to Parker for $50,000.
- Assume Parker adjusts for this transaction in the equity accounts.
- Assume that Parker sold the land in 20X7 for $65,000.
- Assume Parker adjusts for this transaction in the equity accounts.



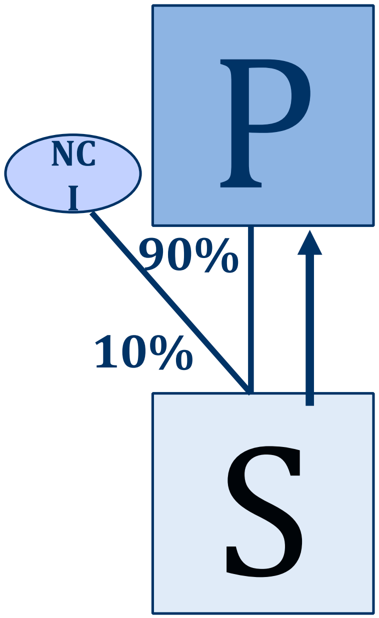
Required:

1. What entry(ies) would Parker make in 20X5 and 20X7?
2. Prepare the consolidation entries at 12/31/X5, 12/31/X6, and 12/31/X7.



Partially Owned Upstream Sales Equity Method Adjustment

- Similar to what we did with inventory transfers: we must share deferral with the NCI shareholders
- Simply split up the adjustment for unrealized gains proportionately.



Equity Method Adjustments

Investment in Stubben

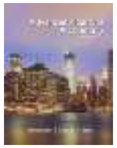
NI	63,000	9,000	Unreal. Gain

Income from Stubben

Unreal. Gain	9,000	63,000	NI
		54,000	

Unreal. 1,000 Gain

To NCI Shareholders



Solution: Parker Company Equity Method Journal Entries

Requirement 1

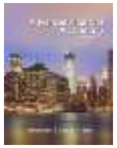
20X5 Equity Method Entries

Investment in Stubben	63,000	
Income from Stubben		63,000

Income from Stubben	9,000	
Investment in Stubben		9000

20X7 Equity Method Entry (after Stubben resold the land)

Investment in Stubben	9,000	
Income from Stubben		9,000



Solution: Parker Company Equity Method Journal Entries

Requirement 2

Consolidation Entry at 12/31/X5

Gain on Sale of Land	10,000	
Land	10,000	

Consolidation Entry at 12/31/X6

Investment in Stubben	9,000	
NCI in NA of Stubben	1,000	
Land	10,000	

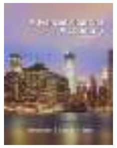
Requirement 3

Consolidation Entry at 12/31/X7 (Stubben resold the land in 20X7)

Investment in Stubben	9,000	
NCI in NA of Stubben	1,000	
Gain on Sale of Land		10,000

Consolidation Worksheet—20X5

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Gain on Sale		10,000	10,000		0
Income from Sub	54,000		54,000 Basic		0
Balance Sheet					
Investment in Sub	324,000			324,000 Basic	0
Land	50,000			10,000	40,000

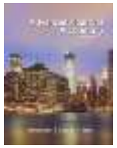


Consolidation Worksheet—20X6

	Parent	Sub	Adjustments DR	Adjustments CR	Consolidated
Income Statement					
Income from Sub			Basic		0
Balance Sheet					
Investment in Sub	(9,000) Lower		9,000	Basic	0
NCI in NA			1,000		1,000 Lower
Land	50,000			10,000	40,000

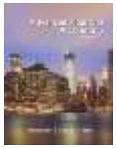
Consolidation Worksheet—20X7

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Gain on Sale	15,000			10,000	25,000
Income from Sub			Basic		0
Balance Sheet					
Investment in Sub	(9,000) Lower		9,000	Basic	0
NCI in NA			1,000		1,000 Lower
Land	0				



Learning Objective 7-5

Prepare equity-method journal entries and elimination entries for the consolidation of a subsidiary following a downstream depreciable asset transfer.

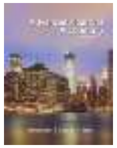


Transfers of Depreciable Assets

- **What is the major difference between depreciable and non-depreciable assets?**
  - Depreciation—DUH!
  - Adds complexity because you have a “moving target” instead of a stationary target. However, the concepts are the same!
- Adjust for:
  - Unrealized gain (same as with land)
  - Differences in depreciation expense
- The goal is to get back to the asset’s **old basis** “as if ” it were still on the books of the original owner.
  - One difference—depreciated going forward based on the new estimated new life.
  - Same as a change of depreciation estimates on any company’s books

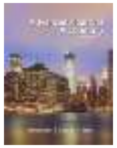
Developing Fixed Asset Elimination Entries

- **Compare "Actual" with "As if "**
  - **"Actual"** = How the transferred asset and related accounts actually appear on the companies' books
  - **"As if "** = How the transferred asset and related accounts would have appeared if the asset had stayed on the original owner's books
- **The difference between the two gives the elimination entry or entries.**



Choosing the Right Depreciable Life

- **What's <u>not</u> relevant?**
  - The original owner's remaining useful life at the transfer date.
- **What's relevant?**
  - The acquirer's estimated remaining useful life (if different from the original remaining life).



Example 3—End of Year Transfer

Assume Padre Corp. purchased a machine on 1/1/20X1 for $100,000 and estimated that the machine would have a useful life of 10 years with no salvage value. After two years, on 12/31/20X2, Padre Corp. sold the machine to its 100% owned subsidiary, Sonny Co., for $90,000. Sonny Co. estimated that the asset had a remaining useful life of five years.

What is the amount of the gain or loss recorded by Padre at the time of the fixed asset transfer?

Machine	
100,000	

Accumulated Depreciation	
	20,000

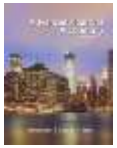
Book Value = 80,000

Sale:

Proceeds $90,000

– Book Value 80,000

Gain $ 10,000



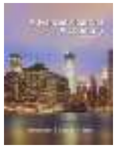
Example 3—End of Year Transfer

Assume Padre Corp. purchased a machine on 1/1/20X1 for $100,000 and estimated that the machine would have a useful life of 10 years with no salvage value. After two years, on 12/31/20X2, Padre Corp. sold the machine to its 100% owned subsidiary, Sonny Co., for $90,000. Sonny Co. estimated that the asset had a remaining useful life of five years.

What accounts and balances actually exist after the fixed asset transfer?

"Actual"

Machine		Accumulated Depreciation		Gain on Sale	
90,000			0		10,000



Example 3—End of Year Transfer

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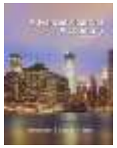
What balances would have existed if the transfer had not taken place?

	Machine (Dr)	Machine (Cr)	Accumulated Depreciation (Dr)	Accumulated Depreciation (Cr)	Gain on Sale (Dr)	Gain on Sale (Cr)
“Actual”	90,000			0		10,000
“As if”	100,000			20,000		0

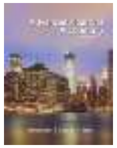


Example 3—End of Year Transfer

The worksheet entry on 12/31/X2 to eliminate the asset transfer is simply the "adjustment" to change from "actual" to "as if" the asset hadn't been transferred.

Gain on Sale	10,000	
Machine	10,000	
Accumulated Depreciation		20,000

	Machine (Dr)	Machine (Cr)	Accumulated Depreciation (Dr)	Accumulated Depreciation (Cr)	Gain on Sale (Dr)	Gain on Sale (Cr)
"Actual"	90,000			0		10,000
	10,000			20,000	10,000	
"As if"	100,000			20,000		0



Example 4: Beginning of Year Transfer

Assume Padre Corp. purchased a machine on 1/1/20X1 for $100,000 and estimated that the machine would have a useful life of 10 years with no salvage value. After two years, on **1/1/20X3**, Padre Corp. sold the machine to its 100% owned subsidiary, Sonny Co., for $90,000. Sonny Co. estimated that the asset had a remaining useful life of five years.

How much depreciation expense will Sonny record in 20X3?

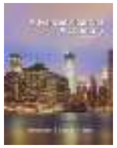
Depreciation Expense = (C – SV) / # years

= (90,000 – 0) / 5 years = **$18,000**

How much depreciation expense would Padre have recorded in 20X3 if it had retained the machine and simply changed the estimated life to five years?

Depreciation Expense = (BV – SV) / # years left

= (80,000 – 0) / 5 years = **$16,000**



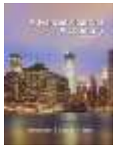
Example 4: Beginning of Year Transfer

Assume Padre Corp. purchased a machine on 1/1/20X1 for $100,000 and estimated that the machine would have a useful life of 10 years with no salvage value. After two years, on **1/1/20X3**, Padre Corp. sold the machine to its 100% owned subsidiary, Sonny Co., for $90,000. Sonny Co. estimated that the asset had a remaining useful life of five years.

Sonny's 20X3 expense can be separated into two parts:

- The portion associated with the original book value from Padre's books.
- The portion associated with the extra amount paid above Padre's book value (the gain).

Gain = 10,000	÷ 5 =	2,000	Extra Depreciation
Book Value = 80,000	÷ 5 =	16,000	Padre Depreciation
		18,000	Total Sonny Depreciation

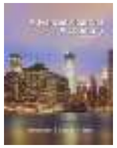


Example 4: Beginning of Year Transfer

Assume Padre Corp. purchased a machine on 1/1/20X1 for $100,000 and estimated that the machine would have a useful life of 10 years with no salvage value. After two years, on **1/1/20X3**, Padre Corp. sold the machine to its 100% owned subsidiary, Sonny Co., for $90,000. Sonny Co. estimated that the asset had a remaining useful life of five years.

Depreciation Expense			Accumulated Depreciation	
18,000		"Actual"		18,000
	2,000		2,000	
16,000		"As if"		16,000

Accumulated Depreciation	2,000	
Depreciation Expense		2,000



Example 4: Beginning of Year Transfer

Assume Padre Corp. purchased a machine on 1/1/20X1 for $100,000 and estimated that the machine would have a useful life of 10 years with no salvage value. After two years, on **1/1/20X3**, Padre Corp. sold the machine to its 100% owned subsidiary, Sonny Co., for $90,000. Sonny Co. estimated that the asset had a remaining useful life of five years.

What balances would have existed if the transfer hadn't taken place?

	Machine	Accumulated Depreciation	Gain on Sale
"Actual"	90,000	18,000	10,000
"As if"	100,000	36,000	0

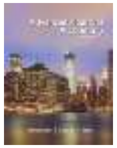
Example 4: Beginning of Year Transfer

There are two worksheet entries on 12/31/X3 to compare "actual" to "as if" to make it appear like the asset hadn't been transferred. **What is the second elimination entry?**

Accumulated Depreciation	2,000	
Depreciation Expense		2,000

Gain on Sale	10,000	
Equipment	10,000	
Accumulated Depreciation		20,000

	Machine (Dr)	Machine (Cr)	Accumulated Depreciation (Dr)	Accumulated Depreciation (Cr)	Gain on Sale (Dr)	Gain on Sale (Cr)
"Actual"	90,000			18,000		10,000
	10,000		2,000	20,000	10,000	
"As if"	100,000			36,000		0



Practice Quiz Question #2

On 7/1/X8, Pale, Inc. reported a $30,000 gain on equipment sold to Sunny, Inc. (100% owned), which extended the then remaining life of 3 yrs. to 5 yrs. The adjustment to depreciation expense in consolidation at 12/31/X8 is

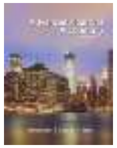
a. $3,000.

b. $5,000.

c. $6,000.

d. $10,000.

e. None of the above.

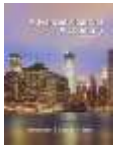


Practice Quiz Question #2 *Solution*

Gain = 30,000	÷ 5 =	6,000	Extra Depreciation
Book Value = ?	÷ 5 =	?	Parent Depreciation
		?	Total Depreciation

Don't forget this is a partial year!

$6,000 x 6/12 = $3,000



Practice Quiz Question #2 *Solution*

On 7/1/X8, Pale, Inc. reported a $30,000 gain on equipment sold to Sunny, Inc. (100% owned), which extended the then remaining life of 3 yrs. to 5 yrs. The adjustment to <u>depreciation expense</u> in consolidation at 12/31/X8 is

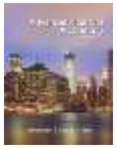
a. $\boxed{\text{\$3,000. (\$30,000 / 5) x ½ year}}$

b. $5,000.

c. $6,000.

d. $10,000.

e. None of the above.



Practice Quiz Question #3

On 5/1/X8, Pastor, Inc. had a $30,000 gain on equipment sold to Sermon, Inc. (100% owned) for $150,000. Sermon extended the then remaining life of 2 yr. (*original life* was 10 yrs.) to 4 yrs. What is the consolidated <u>accumulated depreciation</u> at 12/31/X8?

a. $500,000.

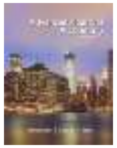
b. $505,000.

c. $510,000.

d. $520,000.

e. $540,000.

This is a difficult question! Solve it in several steps.



Practice Quiz Question #3 *Solution*

On 5/1/X8, Pastor, Inc. had a $30,000 gain on equipment sold to Sermon, Inc. (100% owned) for $150,000. Sermon extended the then remaining life of 2 yr. (*original life* was 10 yrs.) to 4 yrs. What is the consolidated <u>accumulated depreciation</u> at 12/31/X8?

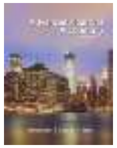
a. $500,000. **($480,000 + [$120,000/4 x 2/3 yr.])**

b. $505,000.

c. $510,000.

d. $520,000.

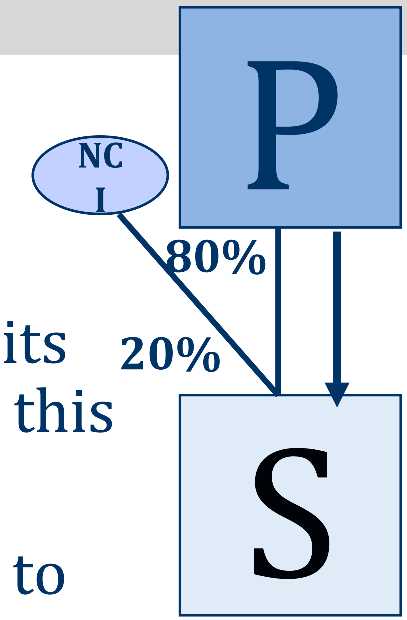
e. $540,000.



Example 5: Partial Ownership Depreciable Asset Transfer at the End of the Year

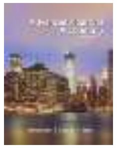
Pericles Corporation sells machinery to its 80%-owned subsidiary, Sophocles Corporation, on 12/31/20X4. The machinery has a book value of $60,000 on this date (cost $120,000 and accumulated depreciation $60,000), and it is sold to Sophocles for $90,000. Thus, this transaction produces an unrealized gain of $30,000. Assume that Pericles adjusts its equity method accounts accordingly.

Note: Transfer is on **last** day of the year.



Required:

1. What journal entry would Pericles make on its books to adjust for the unrealized gain from this transaction?
2. What worksheet entry would Pericles make to consolidate on this date?



Example 5: Partial Ownership Depreciable Asset Transfer at the End of the Year

Equipment	
120,000	

Accumulated Depreciation	
	60,000

Book Value = 60,000

Sale:

Proceeds	$90,000
– Book Value	60,000
Unrealized Gain	$ 30,000

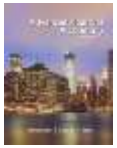
Investment in Sub	
	30,000

Defer Gain

Income from Sub	
30,000	

Requirement 1: Equity Method

Income from Sub	30,000	
Investment in Sub		30,000



Example 5: Partial Ownership Depreciable Asset Transfer at the End of 20X4

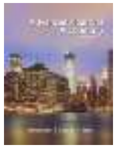
	Equipment	
Sub	90,000	
	30,000	
Parent	120,000	

	Accumulated Depreciation	
"Actual"		0
		60,000
"As if"		60,000

Gain on Sale	
	60,000
30,000	
	0

Requirement 2: Worksheet Entry

Gain on Sale 30,000
Equipment 30,000
Accumulated Depreciation 60,000



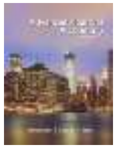
Example 6: Depreciable Asset Transfer at Beginning of Year

Given all other information from the previous example, assume that the transfer takes place on **1/1/20X4**. Also, assume that as of the date of transfer, the machinery has a five-year remaining useful life (with no residual value) and that Sophocles uses straight-line depreciation. In addition to the journal entries to record the transfer of the asset, Sophocles also records depreciation expense of $18,000 for 20X4 ($90,000 / 5 years).

Note: Transfer is on **first** day of the year.

Required:

1. What journal entry(ies) would Pericles make on its books to adjust for the unrealized gain from this transaction?
2. What worksheet entry(ies) would Pericles make to consolidate on this date?



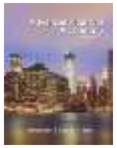
Example 6: Depreciable Asset Transfer at Beginning of Year

Gain = 30,000	÷ 5 =	6,000	Extra Depreciation
Book Value = 60,000	÷ 5 =	12,000	Parent Depreciation
		18,000	Total Depreciation

Requirement 1:

Of the $18,000 of depreciation recorded, $12,000 is based on the BV at the time of transfer and $6,000 is based on the unrealized gain component. We can think of the $6,000 as the cancelation of 1/5 of the unrealized gain.

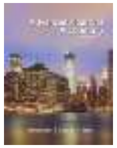
Example 6: Depreciable Asset Transfer at Beginning of Year



Investment in Sub			Income from Sub	
	30,000	Defer Gain	30,000	
6,000		Extra Depreciation		6,000

Income from Sub	30,000	
Investment in Sub		30,000

Investment in Sub	6,000	
Income from Sub		6,000



Example 6: Depreciable Asset Transfer at Beginning of Year (20X4)

	Equipment			Accumulated Depreciation		Gain on Sale
Sub	90,000		"Actual"		18,000		30,000
	30,000			6,000	60,000	30,000	
Parent	120,000		"As if"		72,000		0

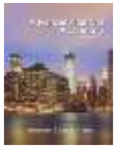
Requirement 2: Worksheet Entries

Gain on Sale 30,000
Equipment 30,000
Accumulated Depreciation 60,000

Accumulated Depreciation 6,000
Depreciation Expense 6,000

Consolidation Worksheet—20X4

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Gain on Sale	30,000		30,000		0
Depreciation Expense		18,000		6,000	12,000
Balance Sheet					
Equipment		90,000	30,000		120,000
Accumulated Depreciation		18,000	6,000	60,000	72,000



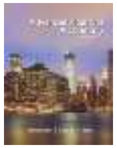
Example 6: Subsequent Years

Given all other information from the previous examples, consider what happens in the last 5 years of the asset's useful life. Think about both the equity method entry Pericles would have to make each year and what elimination entry would be made each year.

Note: Transfer is on **first** day of the year.

Required:

1. What journal entry would Pericles make on its books to adjust for the unrealized gain from this transaction on 12/31/X5?
2. What worksheet entry(ies) would Pericles make to consolidate on this date on 12/31/X5?



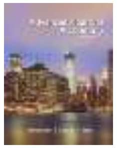
Solution 6: Subsequent Years

Requirement 1:

Pericles will continue to extinguish $6,000 (1/5) of the unrealized gain each year to its equity accounts.

Equity Method Entry for all Subsequent Years:

Investment in Sub	6,000	
Income from Sub		6,000



Solution 6: Subsequent Years (20X5 – 20X8)

How much of the deferral is left at the beginning of each year?

Investment in Sophocles

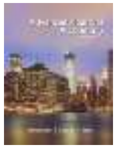
Low 24,000	20X5
6,000	
Low 18,000	20X6
6,000	
Low 12,000	20X7
6,000	
Low 6,000	20X8
6,000	
0	

Account	Debit	Credit
Investment in Sub	6,000	
Income from Sub		6,000

Account	Debit	Credit
Investment in Sub	6,000	
Income from Sub		6,000

Account	Debit	Credit
Investment in Sub	6,000	
Income from Sub		6,000

Account	Debit	Credit
Investment in Sub	6,000	
Income from Sub		6,000



Solution 6: Subsequent Years—20X5

Equipment

	Debit	Credit
Sub	90,000	
	30,000	
Parent	120,000	

Accumulated Depreciation

	Debit	Credit
"Actual"		36.000
	6,000	54,000
"As if"		84,000

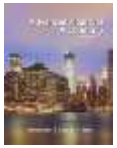
Investment in Sophocles

	Debit	Credit
Low	24,000	
	24,000	
Regular Balance		

Requirement 2: Worksheet Entries

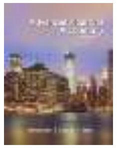
Investment in Sophocles	24,000	
Equipment	30,000	
Accumulated Depreciation		54,000

Accumulated Depreciation	6,000	
Depreciation Expense		6,000



Consolidation Worksheet—20X5

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Depreciation Expense		18,000		6,000	12,000
Balance Sheet					
Equipment		90,000	30,000		120,000
Accumulated Depreciation		36,000	6,000	54,000	84,000
Investment in Sub	Low 24,000		24,000	**Basic**	0



Solution 6: Subsequent Years

20X6 Worksheet Entries:

Investment in Sub 18,000
Equipment 30,000
Accumulated Depreciation 48,000

Accumulated Depreciation 6,000
Depreciation Expense 6,000

	Equipment		Accumulated Depreciation	
Sub	90,000	"Actual"		54,000
	30,000		6,000	48,000
Parent	120,000	"As if"		96,000

20X7 Worksheet Entries:

Investment in Sub 12,000
Equipment 30,000
Accumulated Depreciation 42,000

Accumulated Depreciation 6,000
Depreciation Expense 6,000

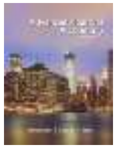
	Equipment		Accumulated Depreciation	
Sub	90,000	"Actual"		72,000
	30,000		6,000	42,000
Parent	120,000	"As if"		108,000

20X8 Worksheet Entries:

Investment in Sub 6,000
Equipment 30,000
Accumulated Depreciation 36,000

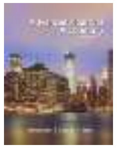
Accumulated Depreciation 6,000
Depreciation Expense 6,000

	Equipment		Accumulated Depreciation	
Sub	90,000	"Actual"		90,000
	30,000		6,000	36,000
Parent	120,000	"As if"		120,000



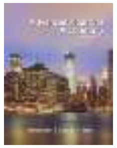
Consolidation Worksheet—20X6

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Depreciation Expense		18,000		6,000	12,000
Balance Sheet					
Equipment		90,000	30,000		120,000
Accumulated Depreciation		54,000	6,000	48,000	96,000
Investment in Sub	Low 18,000		18,000	**Basic**	0



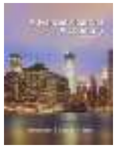
Consolidation Worksheet—20X7

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Depreciation Expense		18,000		6,000	12,000
Balance Sheet					
Equipment		90,000	30,000		120,000
Accumulated Depreciation		72,000	6,000	42,000	108,000
Investment in Sub	Low 12,000		12,000	**Basic**	0



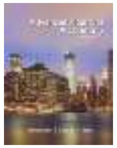
Consolidation Worksheet—20X8

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Depreciation Expense		18,000		6,000	12,000
Balance Sheet					
Equipment		90,000	30,000		120,000
Accumulated Depreciation		90,000	6,000	36,000	120,000
Investment in Sub	Low 6,000		6,000	Basic	0



Learning Objective 7-6

Prepare equity-method journal entries and elimination entries for the consolidation of a subsidiary following an upstream depreciable asset transfer.



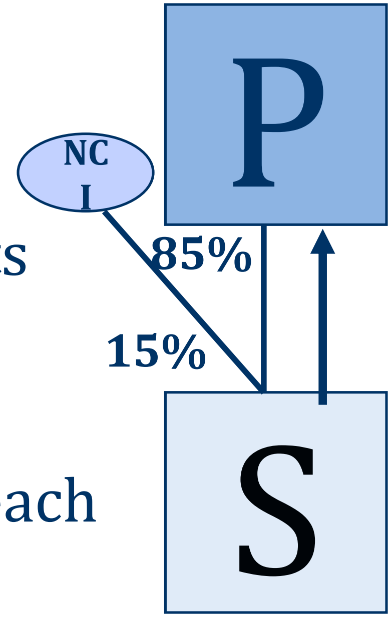
Example 7: Upstream with Partial Ownership Depreciable Asset Transfer

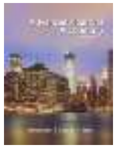
On 1/1/X6, Snoopy (an 85%-owned subsidiary of Peanut) sold equipment costing $150,000 to Peanut for $90,000. At the time of the sale, the equipment had accumulated depreciation of $110,000. Peanut continued depreciating the equipment using the **straight-line method** and assigned a remaining useful life of five years.

Note: Transfer is on **first** day of the year.

Required:

1. What journal entry would Peanut make on its books each year to adjust for the unrealized gain from this transaction?
2. What worksheet entry would Peanut make each year to consolidate on this date?





Example 5 Computations

Equipment	
150,000	

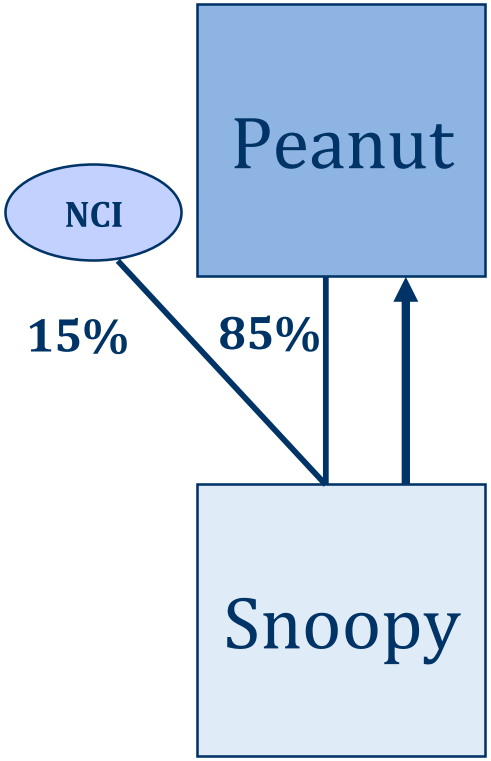
Accumulated Depreciation	
	110,000

Book Value = 40,000

Sale:

Proceeds	$90,000	
– Book Value		40,000
Unrealized Gain		$ 50,000

Example 7 Computations



Sale:

Proceeds	$90,000
– Book Value	40,000
Unrealized Gain	$ 50,000

Gain = 50,000	÷ 5 =	10,000	Extra Depreciation
Book Value = 40,000	÷ 5 =	8,000	Sub Depreciation
		18,000	Total Depreciation

Solution: Peanut Company Equity Method Journal Entries

Investment in Snoopy

85%	Beg. Bal.	42,500
	8,500	
	Low by 34,000	

Income from Snoopy

Defer Gain	42,500	
Extra Depr.		8,500

Year 1

Income from Snoopy	42,500	
Investment in Snoopy		42,500

Investment in Snoopy	8,500	
Income from Snoopy		8,500

Solution: Peanut Company Equity Method Journal Entries

Investment in Snoopy

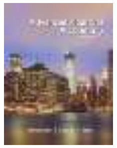
Low 34,000 8,500		Year 2
Low 25,500 8,500		Year 3
Low 17,000 8,500		Year 4
Low 8,500 8,500		Year 5

Investment in Snoopy	8,500	
Income from Snoopy		8,500

Investment in Snoopy	8,500	
Income from Snoopy		8,500

Investment in Snoopy	8,500	
Income from Snoopy		8,500

Investment in Snoopy	8,500	
Income from Snoopy		8,500



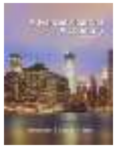
Worksheet Entries

Year 1

Gain on Sale	50,000	
Equipment	60,000	
Accumulated Depreciation		110,000

Accumulated Depreciation	10,000	
Depreciation Expense		10,000

	Equipment			Accumulated Depreciation		Gain on Sale	
Peanut	90,000		"Actual"		18,000		50,000
	60,000			10,000	110,000	50,000	
Snoopy	150,000		"As if"		118,000		0



Worksheet Entries

Year 2

Investment in Snoopy	34,000	
NCI in NA of Snoopy	6,000	
Equipment	60,000	
Accumulated Depreciation		100,000

Accumulated Depreciation	10,000	
Depreciation Expense		10,000

Equipment

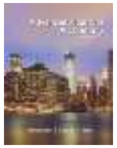
Peanut	90,000	
	60,000	
Snoopy	150,000	

Accumulated Depreciation

"Actual"		36,000
	10,000	100,000
"As if"		126,000

Investment in Snoopy

Low 34,000	
34,000	
Regular Balance	



Worksheet Entries

Year 3

Investment in Snoopy	25,500	
NCI in NA of Snoopy	4,500	
Equipment	60,000	
Accumulated Depreciation		90,000

Accumulated Depreciation	10,000	
Depreciation Expense		10,000

Equipment

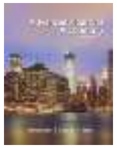
	Debit	Credit
Peanut	90,000	
	60,000	
Snoopy	150,000	

Accumulated Depreciation

	Debit	Credit
"Actual"		54,000
	10,000	90,000
"As if"		134,000

Investment in Snoopy

	Debit	Credit
Low	25,500	
	25,500	
Regular Balance		



Worksheet Entries

Year 4

Investment in Snoopy	17,000	
NCI in NA of Snoopy	3,000	
Equipment	60,000	
Accumulated Depreciation		80,000

Accumulated Depreciation	10,000	
Depreciation Expense		10,000

Equipment

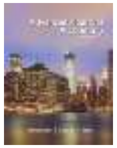
Peanut	90,000	
	60,000	
Snoopy	150,000	

Accumulated Depreciation

"Actual"		72,000
	10,000	80,000
"As if"		142,000

Investment in Snoopy

Low 17,000	
17,000	
Regular Balance	



Worksheet Entries

Year 5

Investment in Snoopy	8,500	
NCI in NA of Snoopy	1,500	
Equipment	60,000	
Accumulated Depreciation		70,000

Accumulated Depreciation	10,000	
Depreciation Expense		10,000

Equipment

Peanut	90,000	
	60,000	
Snoopy	150,000	

Accumulated Depreciation

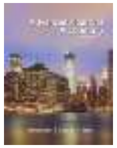
"Actual"		90,000
	10,000	70,000
"As if"		150,000

Investment in Snoopy

Low 8,500	
8,500	
Regular Balance	

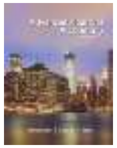
Consolidation Worksheet—Year 1

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Gain on Sale		50,000	50,000		0
Depreciation Expense	18,000			10,000	8,000
Balance Sheet					
Equipment	90,000		60,000		150,000
Accumulated Depreciation	18,000		10,000	110,000	118,000



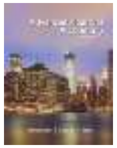
Consolidation Worksheet—Year 2

			Adjustments		
	Parent	Sub	DR	CR	Consol-idated
Income Statement					
Depreciation Expense	18,000			10,000	8,000
Balance Sheet					
Equipment	90,000		60,000		150,000
Accumulated Depreciation	36,000		10,000	100,000	126,000
Investment in Snoopy	Low 34,000		34,000	Basic	0
NCI in NA of Snoopy			6,000		XXX



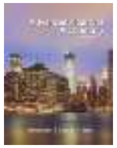
Consolidation Worksheet—Year 3

			Adjustments		
	Parent	Sub	DR	CR	Consol-idated
Income Statement					
Depreciation Expense	18,000			10,000	8,000
Balance Sheet					
Equipment	90,000		60,000		150,000
Accumulated Depreciation	54,000		10,000	90,000	134,000
Investment in Snoopy	Low 25,500		25,500	Basic	0
NCI in NA of Snoopy			4,500		XXX



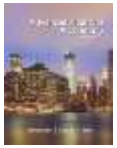
Consolidation Worksheet—Year 4

	Parent	Sub	Adjustments DR	Adjustments CR	Consol-idated
Income Statement					
Depreciation Expense	18,000			10,000	8,000
Balance Sheet					
Equipment	90,000		60,000		150,000
Accumulated Depreciation	72,000		10,000	80,000	142,000
Investment in Snoopy	Low 17,000		17,000	**Basic**	0
NCI in NA of Snoopy			3,000		XXX



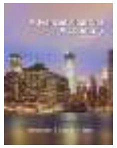
Consolidation Worksheet—Year 5

			Adjustments		
	Parent	Sub	DR	CR	Consol-idated
Income Statement					
Depreciation Expense	18,000			10,000	8,000
Balance Sheet					
Equipment	90,000		60,000		150,000
Accumulated Depreciation	90,000		10,000	70,000	150,000
Investment in Snoopy	Low 8,500		8,500	Basic	0
NCI in NA of Snoopy			1,500		XXX



Intercompany Transfers of Amortizable Assets

- Accounting for intangible assets usually differs from accounting for tangible assets in that amortizable intangibles normally are reported at the remaining unamortized balance without the use of a contra account.
- Other than netting the accumulated amortization on an intangible asset against the asset cost, the intercompany sale of intangibles is treated the same in consolidation as the intercompany sale of tangible assets.



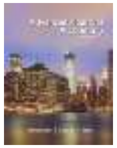
Quiz

Parent Company acquired 80 percent of Subs Company on January 1, 20X3 at book value of Sub's net assets. On January 1, 20X3, Subs sold land it had purchased for $100,000 to Parent for $120,000. On July 1, 20X3, Parents sold vehicle that it had purchased for $30,000 on July 1, 20X1 to Subs for $15,000. The vehicle's original six-year estimated total economic life remains unchanged and no salvage value. Both companies use straight-line depreciation method. Parent uses the fully adjusted equity method.

Required:

1. Prepare the elimination entries, related to intercompany transaction, to prepare consolidated financial statements for 20X3 and 20X4.
2. Compute consolidated net income, net income to noncontrolling interest, and net income to controlling interest for 20X4, if :

Operating income of Parent	S300,000 (exclude Income from Subs)
Net income of Subs	$200,000



Quiz Answer

Land --> Up Stream		
Sales price	120,000	
Cost	100,000	
Gain	20,000	
Vehicle --> Down Stream		
Sales price		15,000
Cost	30,000	
Acc depr	10,000	20,000
Loss		5,000
Amort of loss		1,250

Jurnal Eliminasi:

20X3

Depreciation expense	625	
Vehicle	15,000	
Acc depreciation		10,625
Loss on sale		5,000
Gain on Sale	20,000	
Land		20,000

20X4

Investment in Subs	16,000	
NCI in NA	4,000	
Land		20,000
Depreciation expense	1,250	
Vehicle	15,000	
Acc depreciation		11,875
Investmet in Subs		4,375

Quiz Answer

Cons Net Income 20X4:	
Operating income parent	300,000
Net inc subs	200,000
Realized loss vehicle	(1,250)
Cons Net Income:	498,750
NCI in NI	39,750
Income to CI	459,000

The End